

ITC: NATION FIRST-TRANSFORMING FOR OUR SHARED TOMORROWS

112th Annual General Meeting, ITC Limited
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ADDRESS BY CHAIRMAN & MANAGING DIRECTOR, MR SANJIV PURI

Enduring Value

We meet today at a time when India is taking purposeful strides towards the vision of Amrit Kaal. The country is buoyed by optimism and deeply engaged in realising that promise, striding on the pathways of clearly enunciated goals and policies. What is remarkable is that such an outlook pervades at a time when the world is grappling with serious issues affecting growth across all major economies.

India's resilient growth is a testament to the slew of policy measures unleashed by our inspirational Prime Minister Shri Narendra Modi ji. Some major policy initiatives include: tripling of public capex, best-in-class public digital infrastructure, the PLI scheme to attract private investment in focus sectors, establishing strong Farmer Producer Organisations supported by a multi-stakeholder integrated Agri-Stack to empower farmers, targeted welfare spending leading to impactful delivery of grassroot benefits; and many more. Aligned with the Prime Minister's overarching vision, the Hon'ble Finance Minister unveiled path-breaking Budgets recently with substantial outlays towards each of the policy measures to usher in green and inclusive growth. Prudent fiscal and monetary policies, extensive reforms of the financial sector, together with stronger corporate balance sheets and better capacity utilisations augur well for higher levels of investment required to raise the growth trajectory. As the Government celebrates its 9th anniversary, the remarkable transformation of the economy across multiple dimensions has fuelled unbounded aspirations, hope and optimism for the future.

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While the potential is almost limitless, we are not immune to the adverse impact of several global crises including climate emergency, persisting inflation, supply chain disruptions, muted demand conditions in some major economies and the impact of geo-political dynamics. Further, despite moderating inflation, key commodity prices remain elevated and volatile, adding to the magnitude of external risks. In such an uncertain environment, the Indian economy demonstrated resilience, reporting robust growth while simultaneously unshackling its latent potential towards realising the vision of Amrit Kaal.

Corporates have both an economic and a social purpose. Hence, the path to future progress necessitates business strategies that not only address such uncertainties but also the underlying fault-lines of social inequity and environmental threats. This realisation led your Company to embrace a paradigm of Responsible Competitiveness, that combines agile competitiveness with environmental sustainability and livelihood generation.

The ITC Next strategy seeks to architect the next horizon of competitiveness, growth and profitability in the face of global uncertainties. The agility displayed particularly over the last 2 years attests to the robustness of the ITC Next strategy and stands testimony to the exceptional perseverance displayed by your Company's dedicated employees. Your Company remains committed to making the right strategic choices and adapting to changing macro-economic circumstances.

TRANSFORMING ITC: NEW VECTORS OF GROWTH & COMPETITIVENESS

Your Company has taken decisive strides to transform into a FutureTech, Climate Positive, Innovative and Inclusive enterprise. We recognise that this journey will be traversed in an era of unprecedented uncertainties, making it mission critical to be extremely agile, consumer-centric, competitive and resilient.

The ITC Next strategy seeks to energise this transformation with multiple interventions.

- Your Company's Businesses continue to build on their future-ready portfolio of differentiated, high quality products and services to address evolving needs of customers and consumers.
- New vectors of growth are being nurtured at the convergence of mega trends in digital and sustainability, harnessing ITC's enterprise strengths. ITCMAARS, Sustainable Packaging and FoodTech are vectors born out of this approach. FoodTech synergises your Company's strengths in Foods, Hotels and Digital. Having established the product-market fit successfully in Bengaluru with 3 brands delivered through 19 cloud kitchens, we are now gearing up to take the offering to other cities.
- Structural competitiveness is being strengthened through focused investments in establishing market-aligned innovation platforms, an agile, resilient and efficient supply-chain, a digital-first culture and smart operations across businesses.
- Institutional synergies are being consciously nurtured to create new levers of unique competitive advantage.
- Your Company continues to invest in creating Intellectual Capital through cutting edge R&D and proprietary intellectual property, also manifest in ITC's world-class brands.
- In today's context, it is evident that any strategy, which is devoid of addressing the growing societal challenges will be outdated, irrelevant and bound to be short-lived. It is for this reason that ITC has crafted innovative business models that work towards building economic, environmental and social capital as a unified approach.